



A GUIDE FOR MD • DO • DDS • DMD • PHARM D

# The Physician Home-Buying Guide

What doctors, dentists, and pharmacists should understand *before* buying a home  
— the options, the tradeoffs, and the mistakes to avoid.

An educational resource from MedPharmaConnect

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## Why buying a home is different for you

You spent your twenties (and often thirties) training instead of earning. By the time the income arrives, you're often carrying six figures of student debt, have little saved for a down payment, and may be relocating for a new position. Standard mortgage underwriting wasn't built for that path — it sees the debt and the short work history and says “risky,” even though your long-term earning power is among the most stable there is.

That mismatch is the whole reason a different category of loan exists, and why understanding your options early can save you money and stress.

## What a physician loan actually is

A physician mortgage (sometimes called a “doctor loan”) is a specialized program offered by *select* lenders to address that exact mismatch. Programs vary by lender and state, but they're generally designed to:

- Allow **little or no down payment** on higher loan amounts, often **without private mortgage insurance (PMI)** — the monthly fee conventional loans usually charge when you put down less than 20%.
- **Treat student debt differently** — many lenders count a reduced payment, or exclude deferred loans, when calculating your debt-to-income (DTI) ratio.
- **Accept a signed employment contract** as proof of income, so you may qualify before your first paycheck.
- Offer **higher loan limits** suited to the markets where medical professionals tend to buy.

The flexibility is in *how your profile is evaluated* — not in cutting corners. These are fully underwritten loans.

## Who typically qualifies

Eligibility varies by lender, but most programs extend to doctoral-level healthcare professionals, commonly including:

| Degree    | Profession |
|-----------|------------|
| MD / DO   | Physician  |
| DDS / DMD | Dentist    |
| PharmD    | Pharmacist |

|     |             |
|-----|-------------|
| OD  | Optometrist |
| DPM | Podiatrist  |

Residents, fellows, and established attendings can often qualify — it's not just for early-career borrowers. Strong credit helps (many programs look for ~700+, some work with mid-600s).

## The honest tradeoffs

A good decision means seeing both sides:

### Potential advantages

- ✓ Buy sooner, with less cash up front.
- ✓ Avoid PMI even with a small down payment.
- ✓ Student debt is less likely to disqualify you.

### Things to weigh carefully

- ! **Rates can run slightly higher** than a comparable conventional loan. Sometimes the PMI savings offset this; sometimes they don't — run the numbers.
- ! **Buying more house than you should** is the real risk. Just because you *can* borrow more doesn't mean it fits your life, especially before your income stabilizes.
- ! **Not every lender offers them**, and terms vary a lot — comparison shopping matters more here than with vanilla loans.
- ! **Primary residence only**, generally. Not for vacation homes or rentals.

## Physician loan vs. conventional — at a glance

|                     | Physician loan           | Conventional         |
|---------------------|--------------------------|----------------------|
| Down payment        | Often 0–10%              | Usually 5–20%        |
| PMI with <20% down  | Often none               | Typically required   |
| Student debt in DTI | Often reduced/excluded   | Full payment counted |
| Proof of income     | Contract may be accepted | Pay stubs / history  |

|               |                           |                         |
|---------------|---------------------------|-------------------------|
| Interest rate | Sometimes slightly higher | Often slightly lower    |
| Loan limits   | Often higher              | Conforming limits apply |

Neither is “better” universally — it depends on your cash, your debt, your timeline, and the specific offers in front of you.

## Timing: should you buy now or wait?

This audience has predictable inflection points, and timing affects everything:

- **During residency or fellowship:** possible, but weigh how long you’ll stay. If you may move in 2–3 years, the transaction costs of buying and selling can outweigh the benefits.
- **Starting a new attending role / relocating:** often the strongest window — income jumps, and you’re moving anyway.
- **Rent vs. buy:** owning isn’t automatically the win. Factor in how long you’ll stay, local price-to-rent ratios, maintenance, and whether buying ties you down too early.

**Rule of thumb:** the shorter your expected time in the home, the harder buying is to justify financially.

## 7 common mistakes to avoid

1. **Shopping for a house before shopping for the loan.** Know your real options first.
2. **Borrowing the maximum.** The bank’s ceiling is not your budget.
3. **Comparing only the rate.** Look at total cost — fees, PMI, points, and terms together.
4. **Ignoring closing costs and cash reserves.** Even a no-down-payment program still isn’t \$0 out of pocket.
5. **Not asking whether your degree qualifies.** Pharmacists and dentists often do — but you have to ask.
6. **Buying right before a possible relocation.** Transaction costs add up fast.
7. **Skipping the rent-vs-buy math** because owning “feels” like the adult move.

## Your readiness checklist

- ☐ Credit score pulled and reviewed (aim ~700+)
- ☐ Student loan balances and current/expected payments documented
- ☐ Signed employment contract or recent income on hand

- ☐ Realistic monthly budget set (not the lender's maximum)
- ☐ Cash for closing costs + a few months of reserves
- ☐ Expected time in the home estimated (drives rent-vs-buy)
- ☐ At least 2–3 lenders compared on total cost, not just rate

## Questions to ask any lender

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- ? Does your physician program include my degree (and my career stage)?
- ? How do you treat my student loans in the DTI calculation?
- ? What's the rate *and* the full set of fees — and how does total cost compare to a conventional option?
- ? Is there truly no PMI, and what down payment tiers are available?
- ? Can I qualify on my employment contract before my start date?
- ? Any prepayment penalties or rate-adjustment terms I should know about?

## Mini glossary

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**PMI** — Private mortgage insurance; a monthly cost conventional loans usually add when you put down less than 20%.

**DTI** — Debt-to-income ratio; your monthly debt payments divided by gross monthly income. Lower is better.

**Conforming limit** — The maximum loan size eligible for standard conventional backing; loans above it are “jumbo.”

**Underwriting** — The lender's process of verifying your finances and approving the loan.

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